

Apptio Billing

Defensible billing showing the value of IT investments

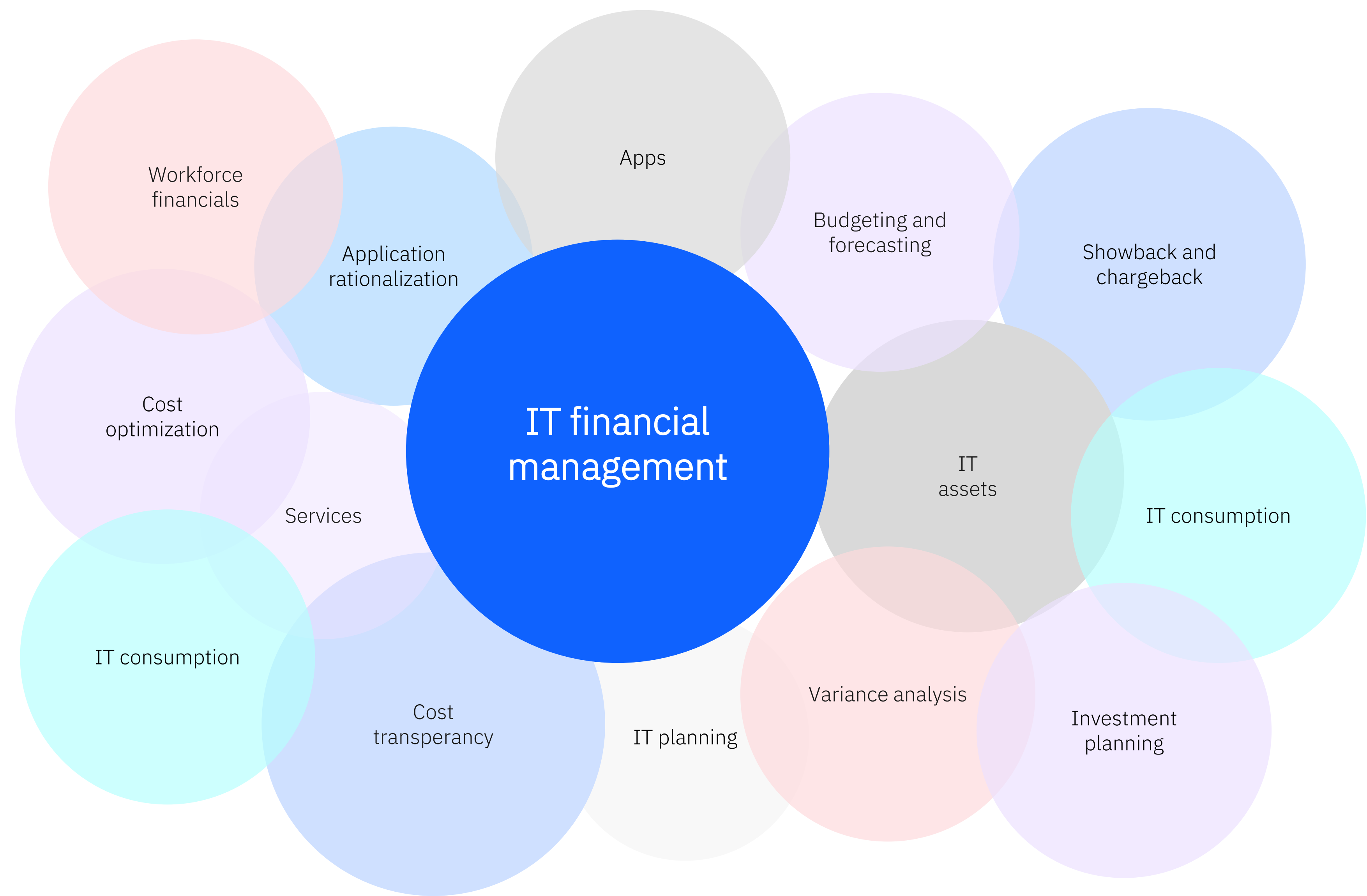
Client presentation

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Complexities of IT financial management



Opportunities for IT Cost Optimization: Gartner insight

96%

of enterprise operating expenses occur outside of IT¹.

This statistic presents [significant opportunities](#) to reduce IT spending by partnering with business unit peers.



Apptio portfolio

Costing

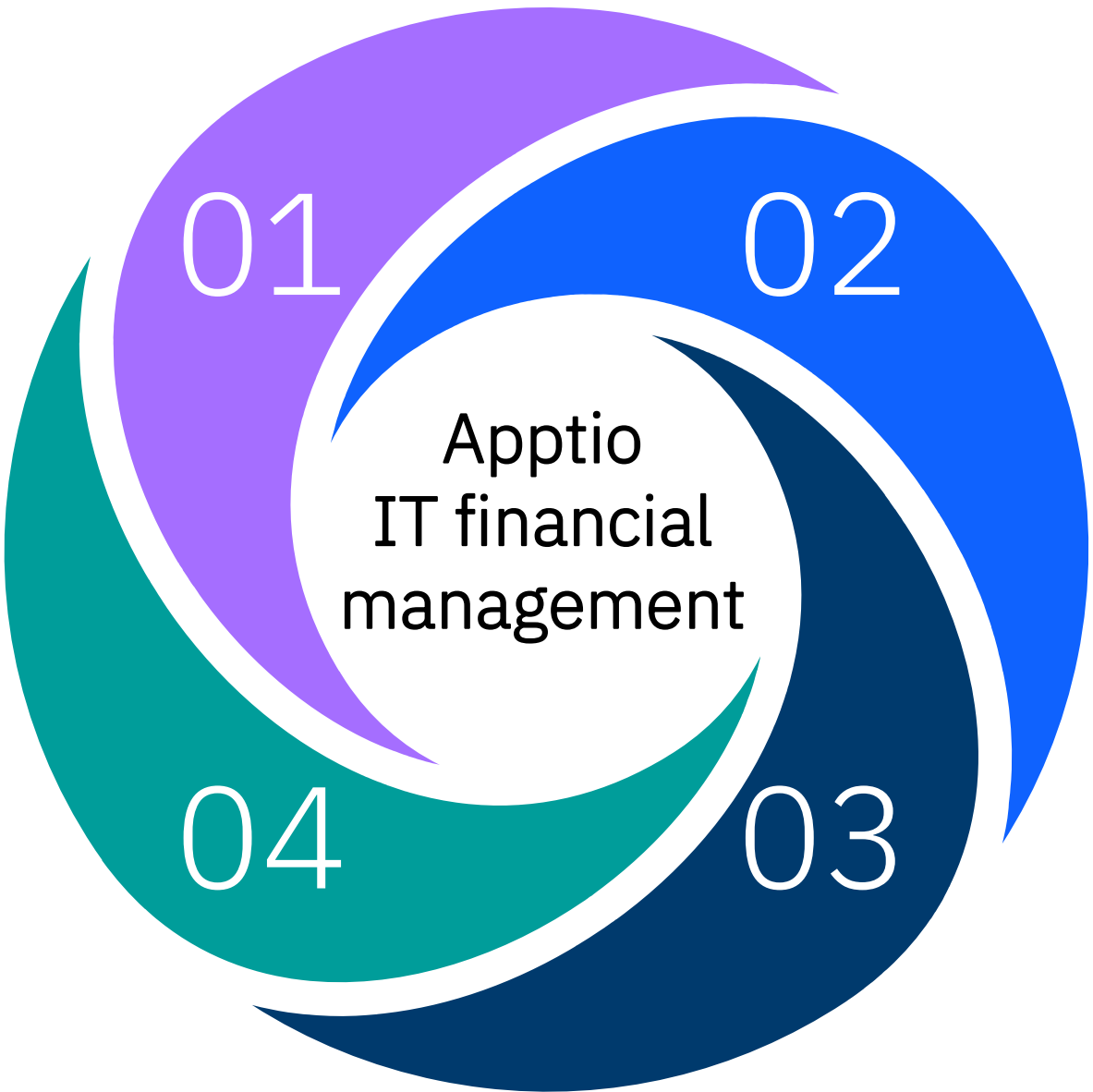
Proactively manage and understand IT spend, reduce waste, and align tech investments to strategic priorities

Personas: Tech leaders, IT finance

Benchmarking

Understand how you compare to peers and justify and defend costs to enable informed decision-making

Personas: Tech leaders, IT finance



Planning

Create a repeatable, accurate, and collaborative planning process and reduce time spent forecasting and accelerate frequency

Personas: Tech leaders, IT finance

Billing

Eliminate labor-intensive manual billing and empower business leaders to reduce consumption.

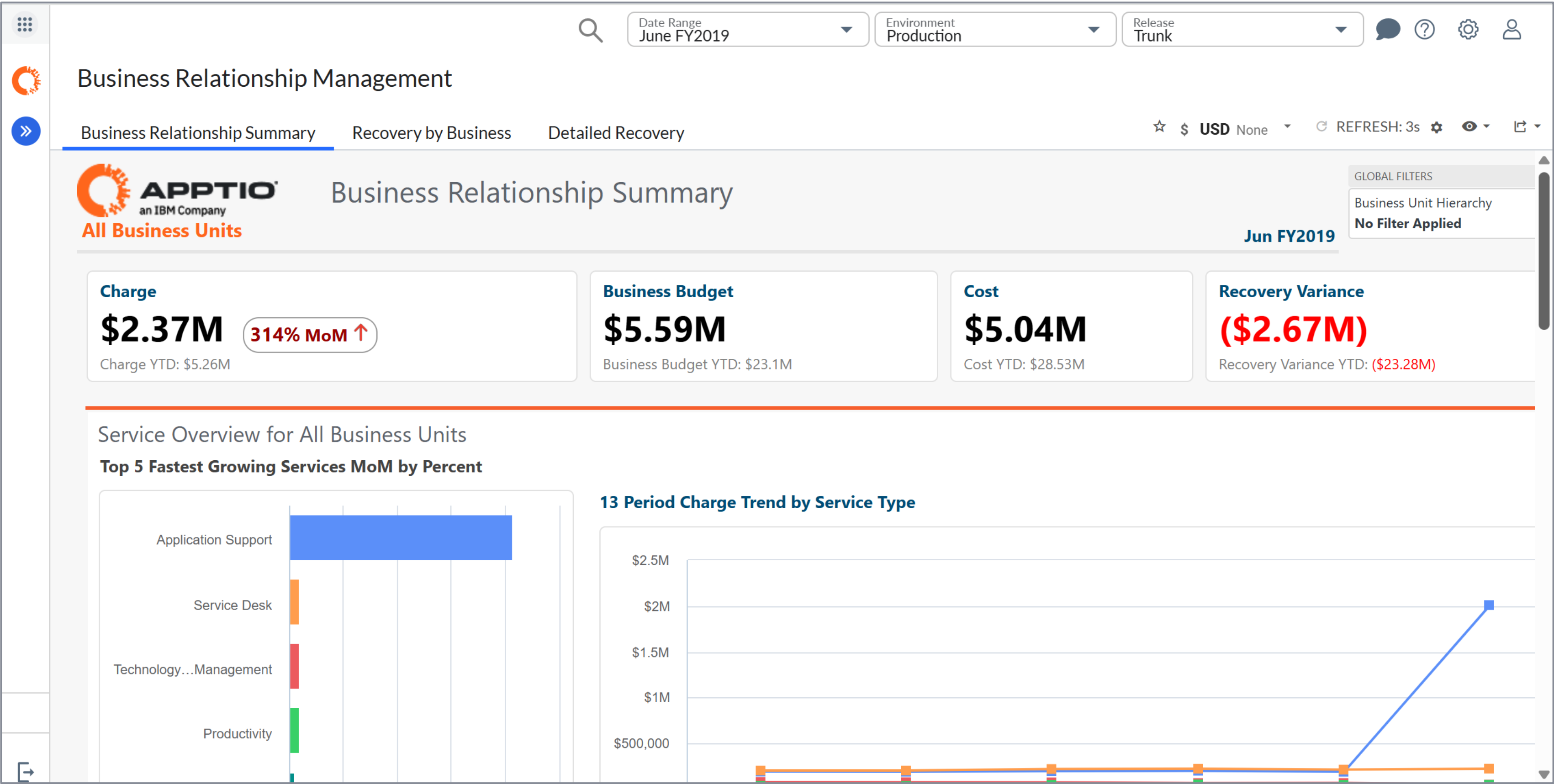
Personas: Tech leaders, IT finance, infra manager/Service owner.

Apptio Billing: A deep dive

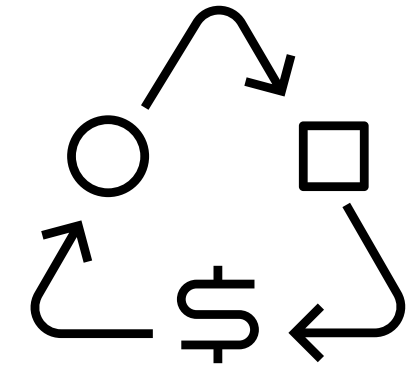
Apptio Billing: Personas

Personas: Tech leaders, IT finance, infra manager/service owner

Eliminate labor-intensive manual billing and empower business leaders to reduce consumption

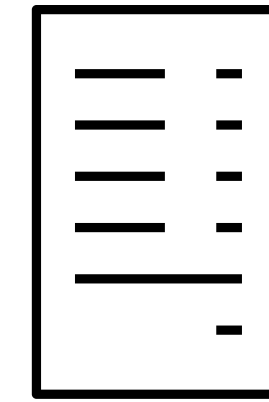


What if you could implement the ideal billing solution?



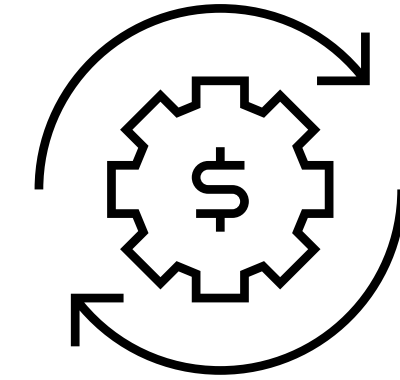
Shared services cost recovery

Determine the proper billing amount from each business unit and facilitate a simple process for publishing and then recouping those costs



Equitable and defensible charges

Ensure the amount that is billed is not only accurate, but also explainable at an appropriate level of detail for the business unit



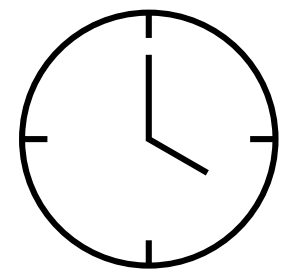
Control business unit consumption

Curb the business unit's tendency to overconsume IT services by making actual costs visible.

Show the levers that they can use to mitigate costs and reinvest in higher-value IT activities

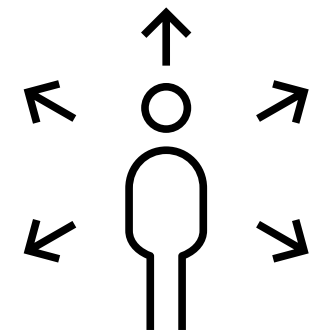
Limitations of spreadsheets and in-house billing solutions

Tedious and time-consuming



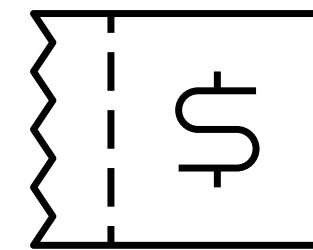
Labor-intensive billing processes delay decision making, prevent frequent, and defensible communication of costs, and create inaccuracies

Lack of precision



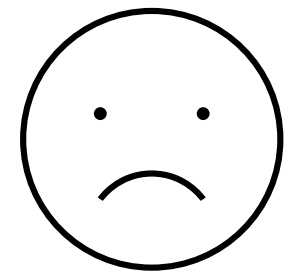
Statements don't show the levers available to reduce charges and are unable to drive behavior change or impact consumption

Lack of accountability



No way to hold business units accountable for the IT services they are consuming

Not designed for IT

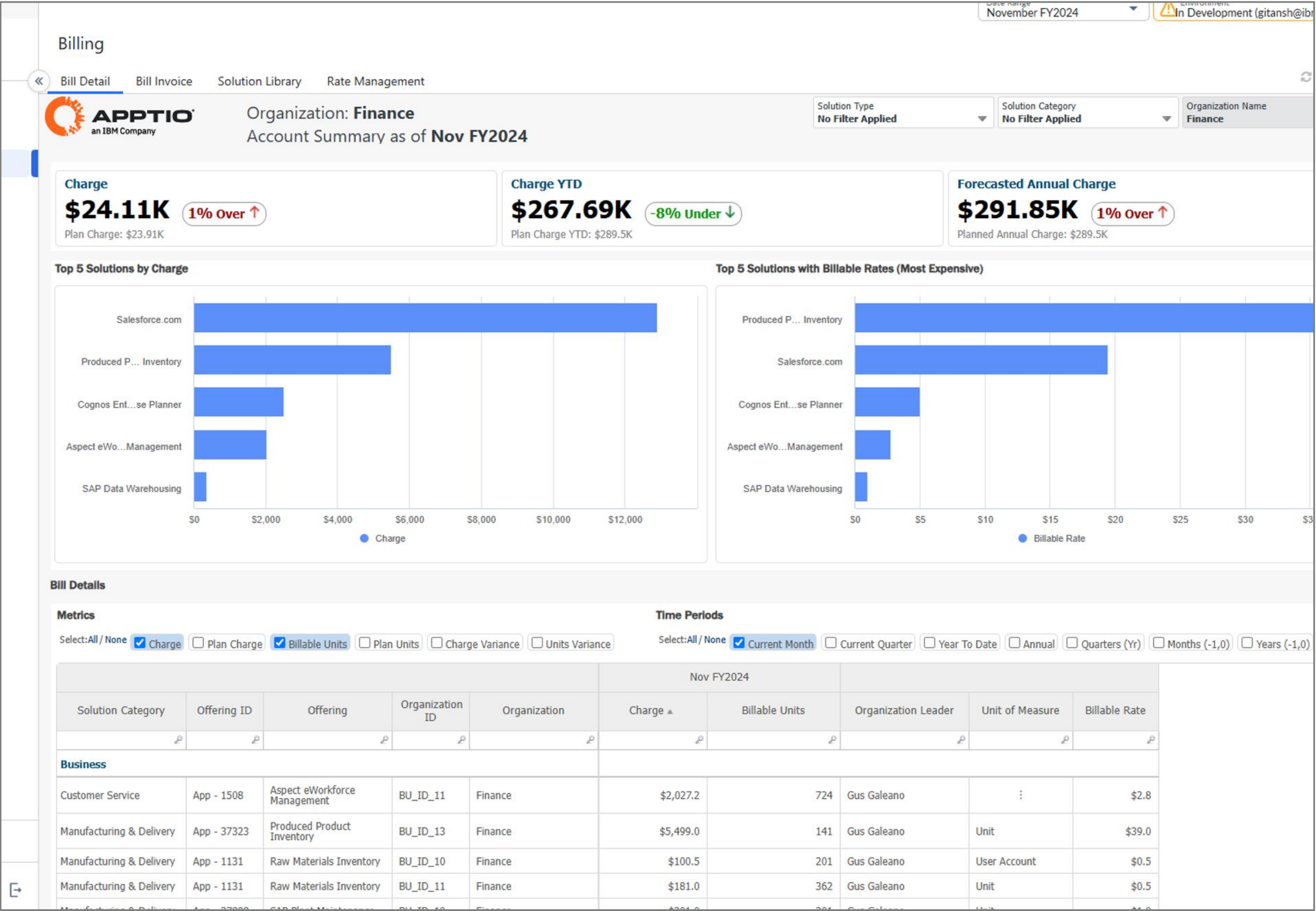


Consumers of IT often receive confusing and unpredictable bills for the services that they consume and lack a way to drill down into what is driving costs

Apptio Billing Essentials

Billing Essentials: Introduction

Apptio Billing Essentials is a [simple, prescriptive chargeback solution](#) for cost transparency and accountability.



Visibility into IT spend



Simple
chargeback



Easy rate
management



Automated
bill generation



Current period
reconciliation and
adjustment



Basic compliance
and audit support



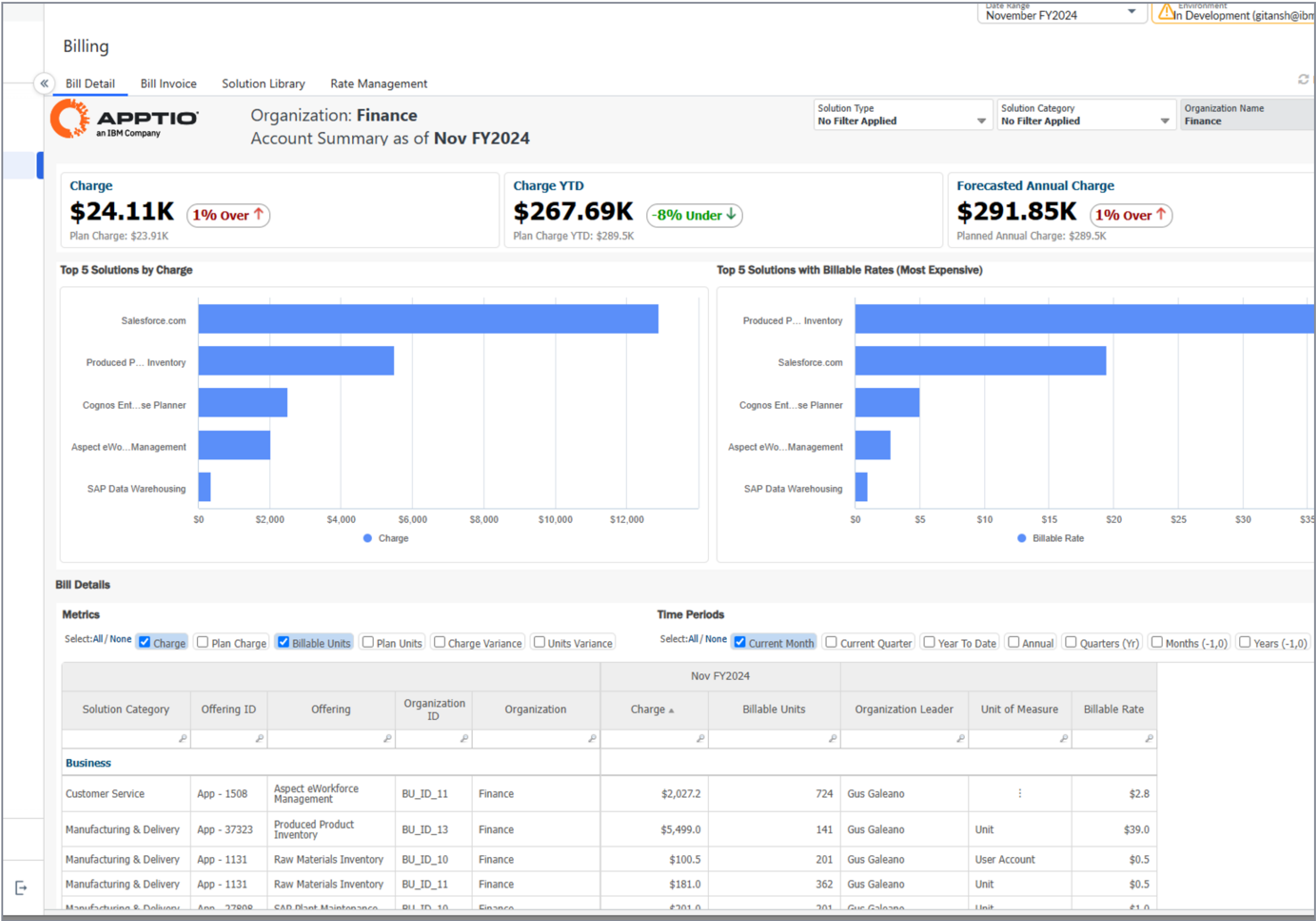
Annual rate setting
and monthly billing

Simple chargeback

Charge business unit consumers for the services they consume

Use cases:

- Identify specific services to bill
- Bill based on PxQ methodology (price charged x quantity consumed)
- Use cost pass-through for public Cloud cost recovery



Easy rate management

Influence demand and change consumption behavior

Use cases:

- Set rates based on unit costs from Apptio Costing to calculate proforma charges
- Compare charges to costs to estimate under/over recovery, and refine and set final rates
- Choose subsidization strategies to drive adoption and sunset services

Billing

Bill DetailBill InvoiceSolution LibraryRate Management

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an IBM Company

Solution Library

Billable
Yes

Solution Type
No Filter Applied

Solution Category
No Filter Applied

Solution Owner
No Filter Applied

Solution Library Details

Solution Type	Solution Category	Offering ID	Offering	Solution Owner	Business Capability	Lifecycle Stage	Unit of Measure	Billable Rate
Business	Customer Service	App - 1508	Aspect eWorkforce Management	Christi Degener	Operational Excellence	In Service	User Account	\$2.80
Business	Manufacturing & Delivery	App - 37323	Produced Product Inventory	Florentino Genberg	Operational Excellence	In Service	Unit	\$39.00
Business	Manufacturing & Delivery	App - 1131	Raw Materials Inventory	Brandi Robida	Customer Growth	In Service	User Account	\$0.50
Business	Manufacturing & Delivery	App - 22997	SAP Material Management	Brandi Robida	Operational Excellence	In Service	Device	\$39.00
Business	Manufacturing & Delivery	App - 27898	SAP Plant Maintenance	Florentino Genberg	Product Delivery	In Service	Unit	\$1.00
Business	Manufacturing & Delivery	App - 28275	SAP Production Planning	Florentino Genberg	Product Delivery	In Service	Unit	\$1.50
Business	Sales & Marketing	App - 754	Oracle CRM	Pete Bolding	Infrastructure	In Service	Unit	\$51.00
Business	Sales & Marketing	App - 27144	Salesforce.com	Pete Bolding	Product Delivery	In Service	Unit	\$19.50
Shared & Corporate	Finance	App - 12441	Cognos Enterprise Planner		Customer Growth	In Service	User Account	\$5.00
Shared & Corporate	Finance	App - 13195	Financial Investment Analysis		Product Delivery	In Service	User Account	\$1.00
Shared & Corporate	Finance	App - 25636	SAP Data Warehousing	Gus Galeano	Operational Excellence	In Service	User Account	\$1.00
Shared & Corporate	Finance	App - 13949	SAP Financial Accounting		Product Delivery	In Service	User Account	\$0.50

Automated bill generation

Easily send bills for efficient cost recovery

Use cases:

- Generate monthly online bill invoices
- Schedule email distribution of bills, including:
 - Link to online bill
 - PDF bill

Report Collection *

Billing

Report *

Bill Detail

Subscription Name *

Monthly Bill Invoice

Recipients *

ed.hayman@ibm.com

Frequency

☐ Daily

☐ Weekly

☒ Monthly

Send Time *

8:00am

AKST

Day *

10

Subscription ends

☐ Never

☒ On a date

Select Date *

12/31/2024

Define email body

Manage Subscriptions

Cancel

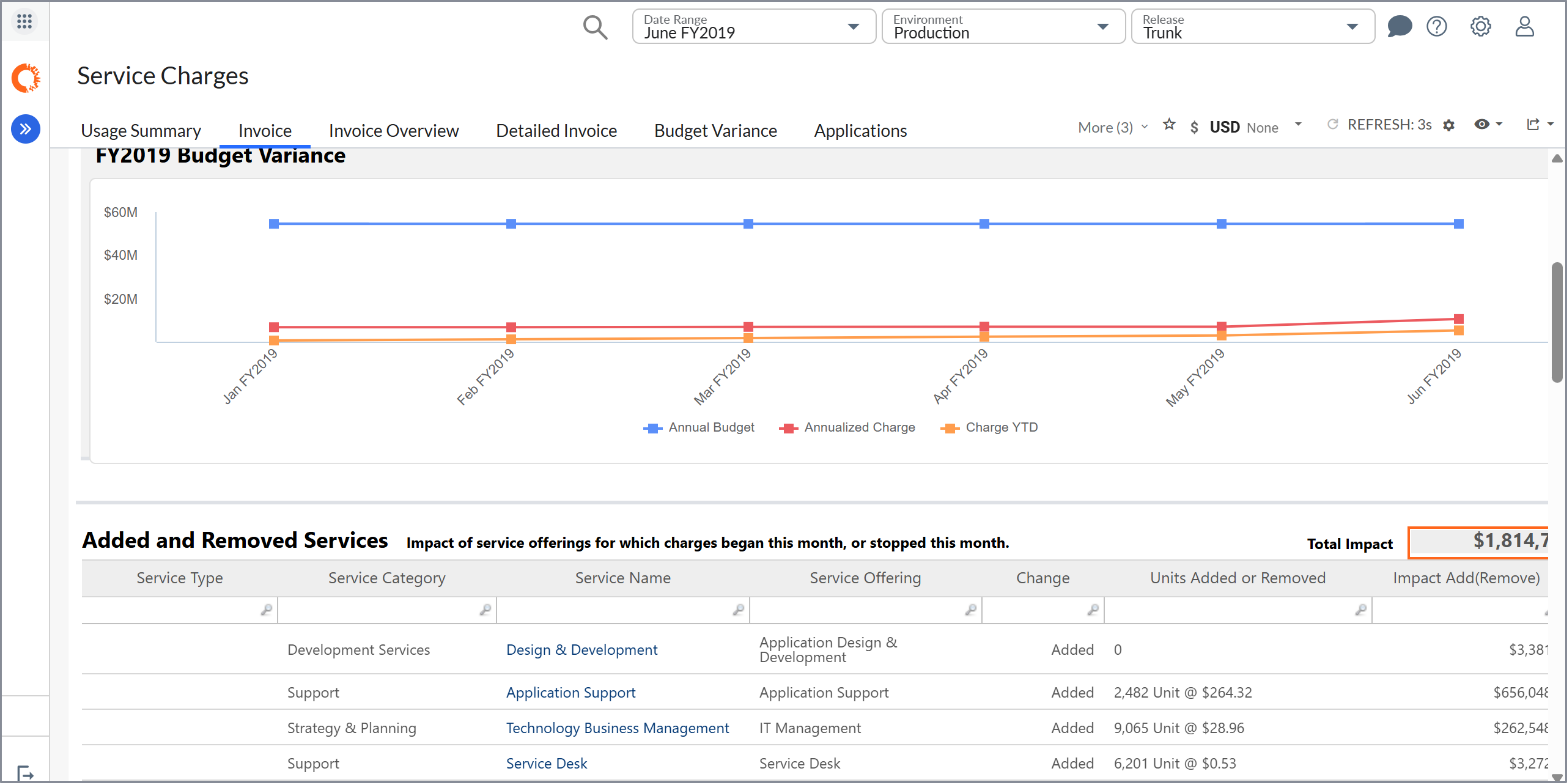
Subscribe

Current period reconciliation and adjustment

Ensure that bills accurately reflect consumption

Use cases:

- Review online analytics to validate charges, including service, volume, price and other attributes
- Correct current period bills by modifying services or volumes based on business unit feedback



Basic compliance and audit support

Keep data for easy access

Use case:

- Store billing and chargeback records for a clear audit trail

Billing

Bill DetailBill InvoiceSolution LibraryRate ManagementBilling Process AdminBilling Cost Model

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Billing Process Admin

Bill Invoice ArchiveBilling Journal Archive

Offering	Offering ID	Organization ID	Billable Units	Billable Rate	Charge	Billable Units Prev Period	Charge Prev Period
Business							
Customer Service							
Acme.com	App - 5278	BU_ID_1	646.00	\$0.00	\$9,044.00	645.00	\$9,030.00
Acme.com	App - 5278	BU_ID_13	140.00	\$0.00	\$1,960.00	142.00	\$1,988.00
Acme.com	App - 5278	BU_ID_8	280.00	\$0.00	\$3,920.00	278.00	\$3,892.00
Acme.com	App - 5278	BU_ID_21	26.00	\$0.00	\$364.00	25.00	\$350.00
Acme.com	App - 5278	BU_ID_29	10.00	\$0.00	\$140.00	9.00	\$126.00
Acme.com	App - 5278	BU_ID_22	75.00	\$0.00	\$1,050.00	77.00	\$1,078.00
Aspect eWorkforce Management	App - 1508	BU_ID_6	190.00	\$0.00	\$1,463.00	190.00	\$1,463.00
Aspect eWorkforce Management	App - 1508	BU_ID_11	736.00	\$0.00	\$5,667.20	738.00	\$5,682.60
Aspect eWorkforce Management	App - 1508	BU_ID_20	19.00	\$0.00	\$146.30	18.00	\$138.60
Aspect eWorkforce Management	App - 1508	BU_ID_17	41.00	\$0.00	\$315.70	41.00	\$315.70
Aspect eWorkforce Management	App - 1508	BU_ID_29	10.00	\$0.00	\$77.00	9.00	\$69.30
Aspect eWorkforce Management	App - 1508	BU_ID_16	17.00	\$0.00	\$130.90	15.00	\$115.50
Cisco Intelligent Call Routing (ACD)	App - 1885	BU_ID_1	646.00	\$0.00	\$1,938.00	645.00	\$1,935.00
Cisco Intelligent Call Routing (ACD)	App - 1885	BU_ID_11	368.00	\$0.00	\$1,104.00	369.00	\$1,107.00
Cisco Intelligent Call Routing (ACD)	App - 1885	BU_ID_32	458.00	\$0.00	\$1,374.00	460.00	\$1,380.00
Cisco Intelligent Call Routing (ACD)	App - 1885	BU_ID_9	152.00	\$0.00	\$456.00	163.00	\$489.00
Cisco Intelligent Call Routing (ACD)	App - 1885	BU_ID_4	67.00	\$0.00	\$201.00	68.00	\$204.00
Cisco Intelligent Call Routing (ACD)	App - 1885	BU_ID_17	41.00	\$0.00	\$123.00	41.00	\$123.00
Cisco Intelligent Call Routing (ACD)	App - 1885	BU_ID_12	102.00	\$0.00	\$306.00	101.00	\$303.00

Introduction to Process Admin report

By clicking the 'Copy Invoice Details' button, the contents of the table are copied to 'Billing Invoice Archive' table under 'Billing' category for the selected date range. This ensures that an archived copy of the report is present despite recurring changes to the invoice report

Instructions

Verify that the right date range is selected to copy the data

Click on the 'Copy Invoice Details' button

A message box 'Action Initiated' will be displayed

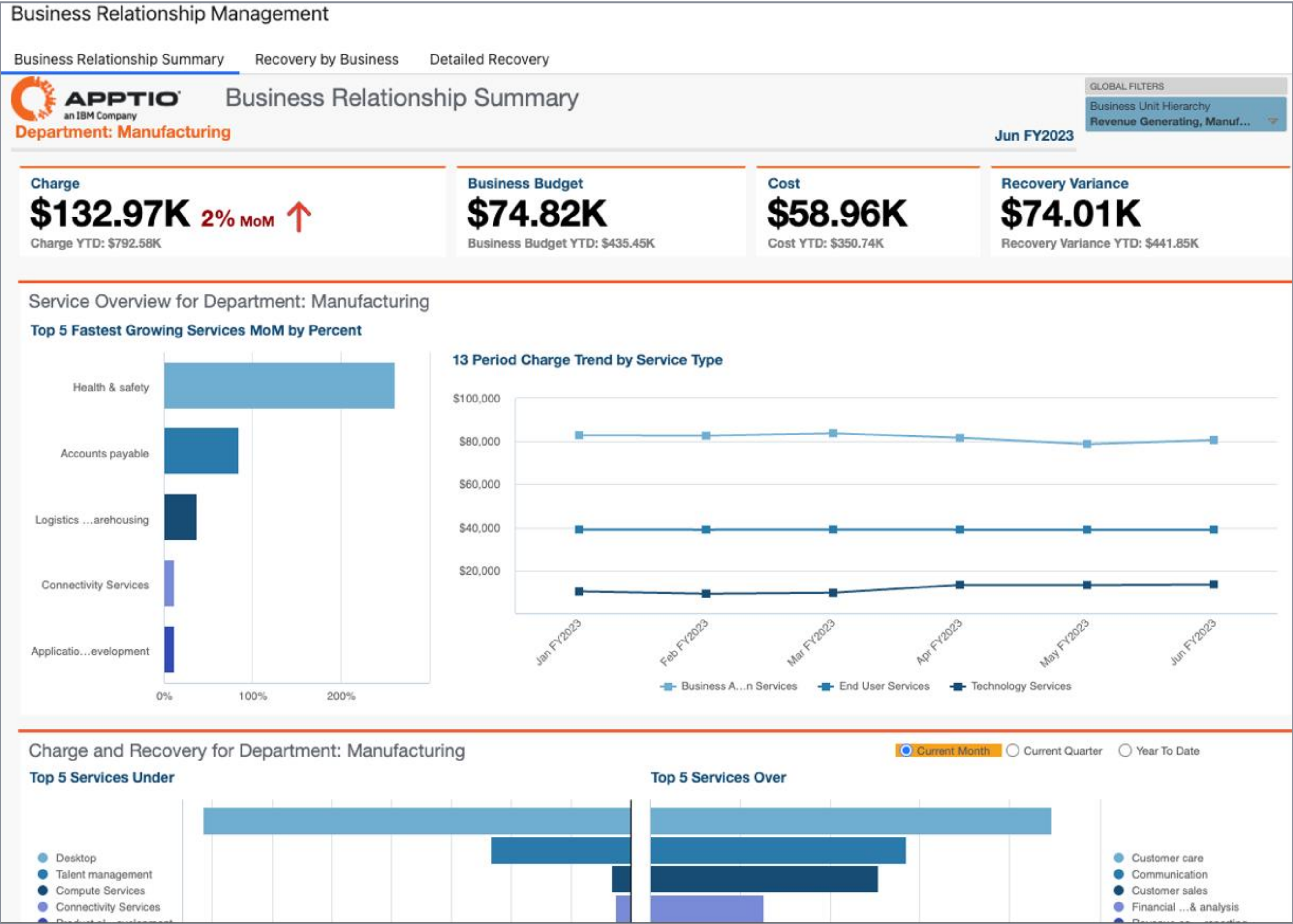
Navigate to 'Billing Invoice Archive' table under 'Billing' category and verify the data

Copy Invoice Details

Apptio Billing Standard

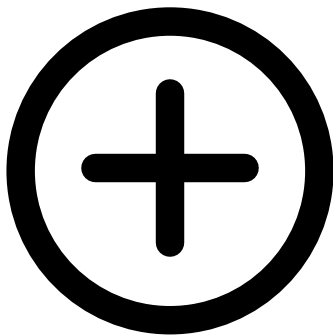
Billing Standard: Introduction

Apptio Billing Standard is a [comprehensive chargeback solution](#) to optimise service consumption across the organization.



Visibility into IT spend

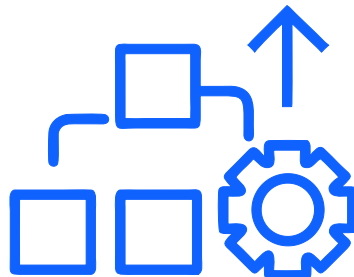
Including Apptio Billing Essentials



Perform a customizable chargeback



Plan and forecast services demand



Strategically optimize rates



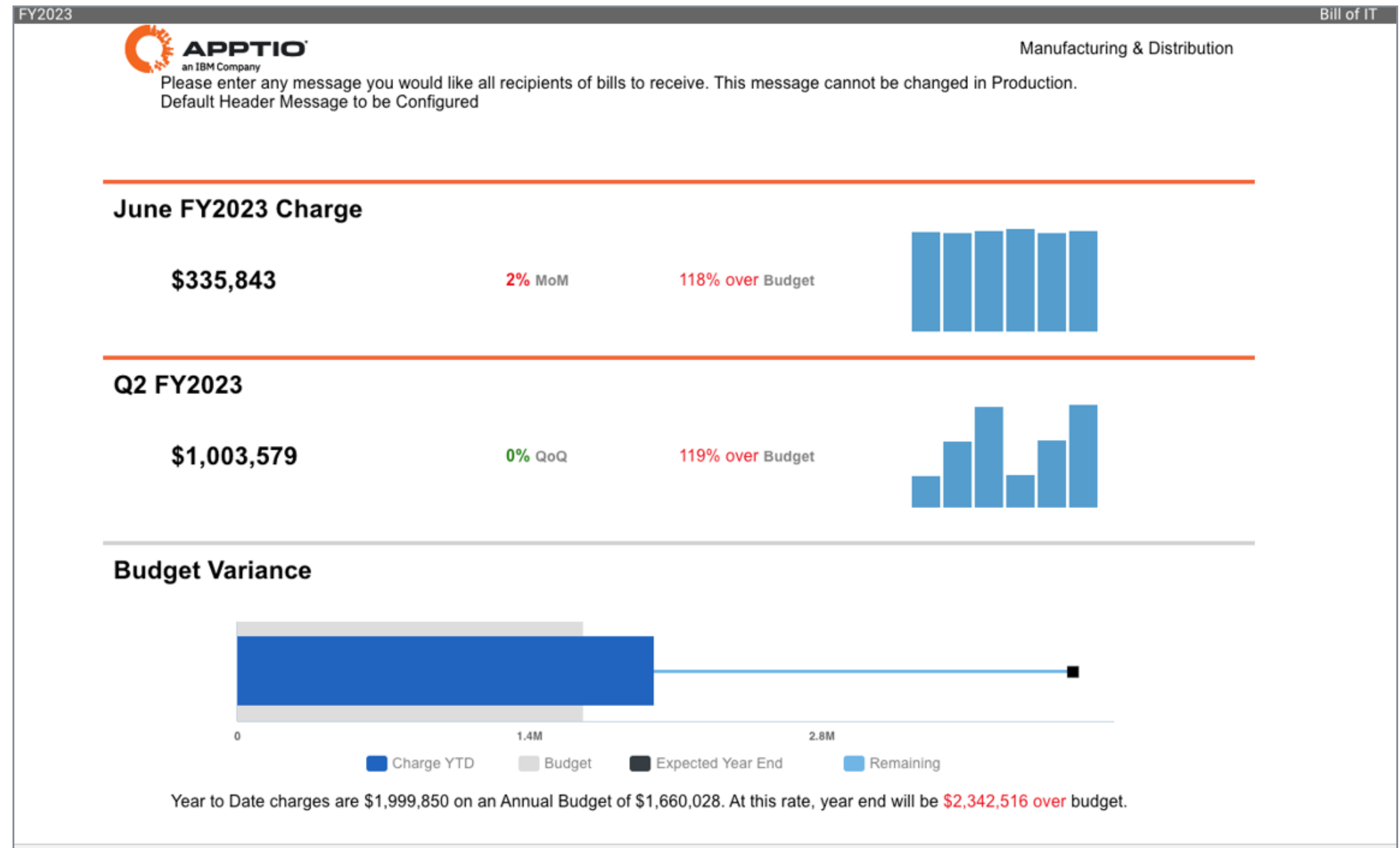
Complex compliance and audit reporting

Perform a customizable chargeback

Increase transparency and accountability of IT spend

Use cases:

- Build business unit and financial budgets
- Define bill methodology for each service
 - PxQ
 - Cost markup
 - Budget
 - Hybrid
- Choose subsidization strategies to drive the adoption and sunset of services
- Adjust consumption units or service tier to optimize the service price

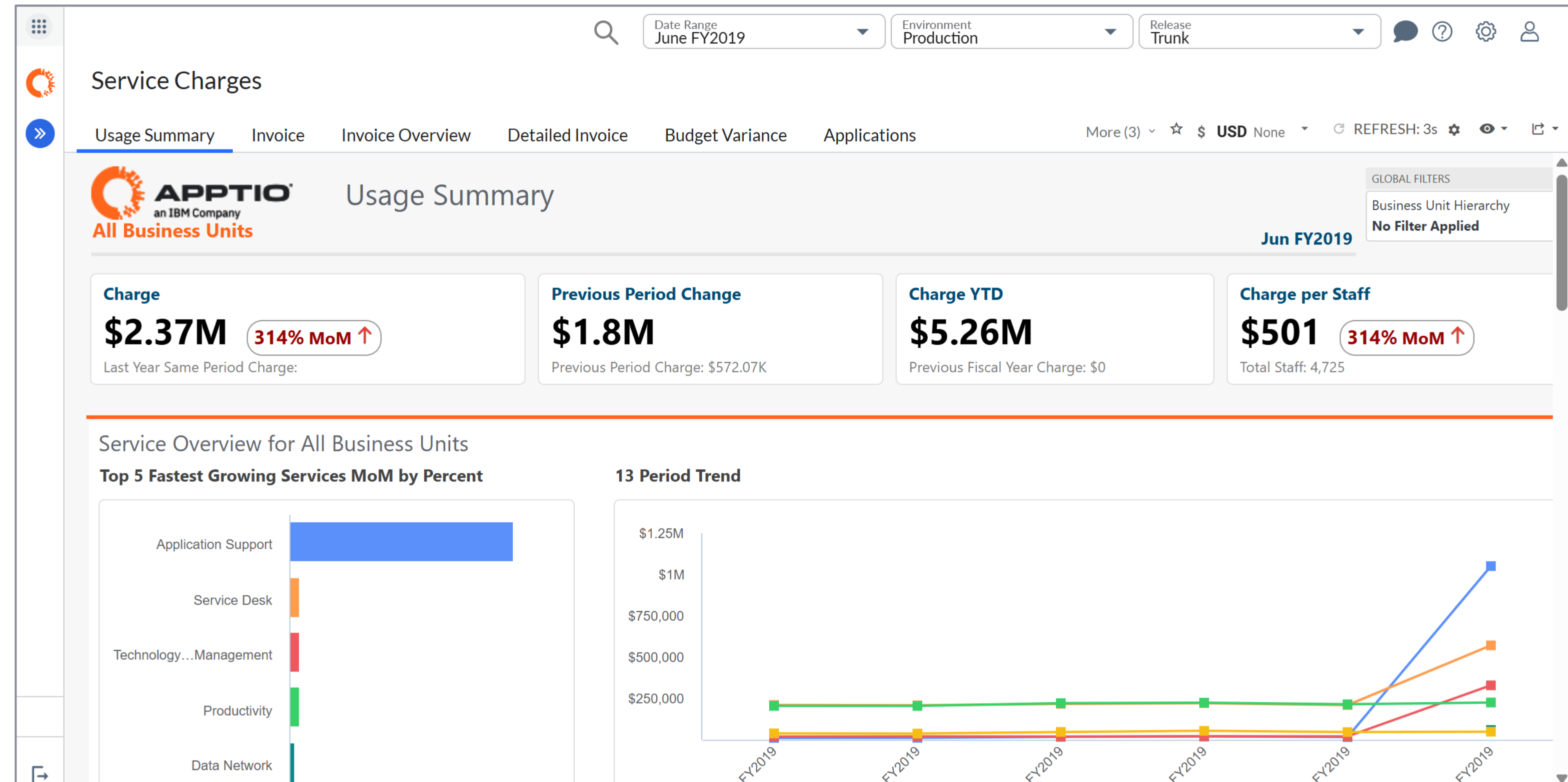


Plan and forecast services demand

Set budgets and project service consumption

Use cases:

- Review variances of actuals and plans
- Set up volume baselines and projected volumes for annual plans
- Forecast demand of existing and new services
- Run scenarios to compare forecasts
 - Volume forecasts
 - Rate forecasts

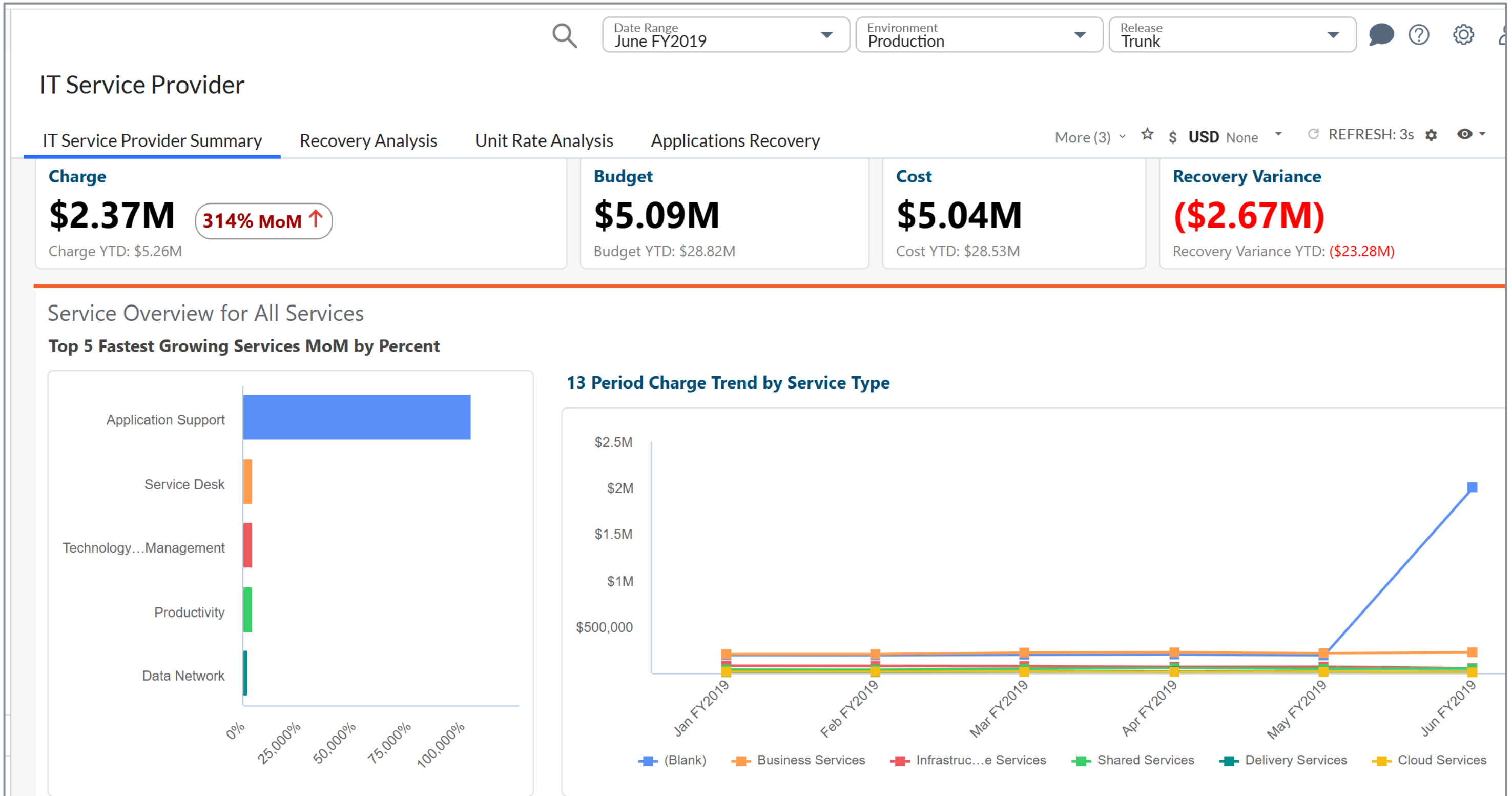


Strategically optimize rates

Influence consumption behavior to suit organizational priorities

Use cases:

- Align pricing with strategic goals and operating parameters
 - Set prices based on the most optimal pricing strategy
 - Manage prices against budgets
- Run pricing scenarios
 - Test changes to service prices, consumption units, service levels and tiers
 - Validate pricing strategies
 - Provide viable pricing alternatives
- Support over/under recovery through true-ups and/or in-year rate adjustments



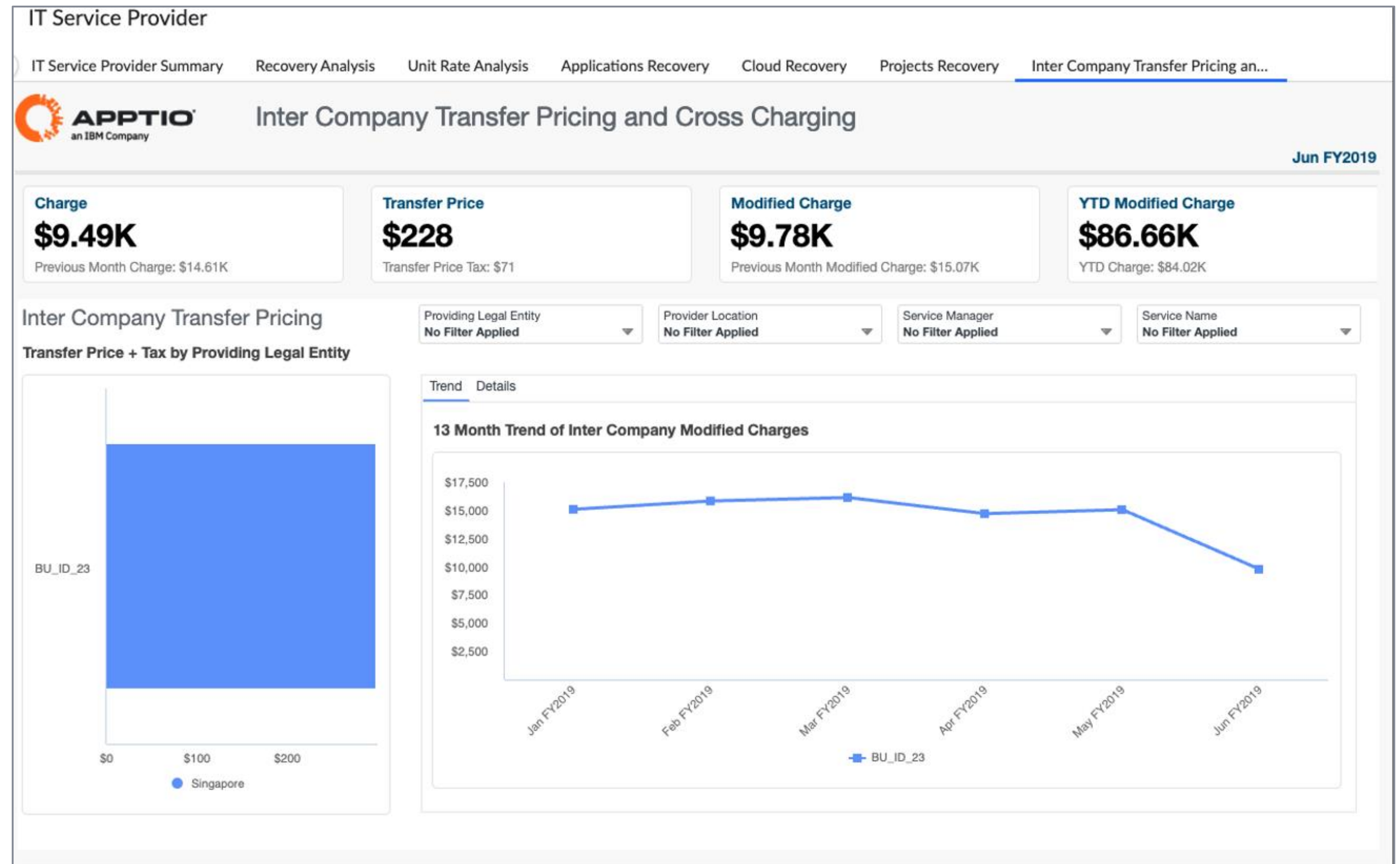
Complex compliance and audit support

Billing to suit all organizations

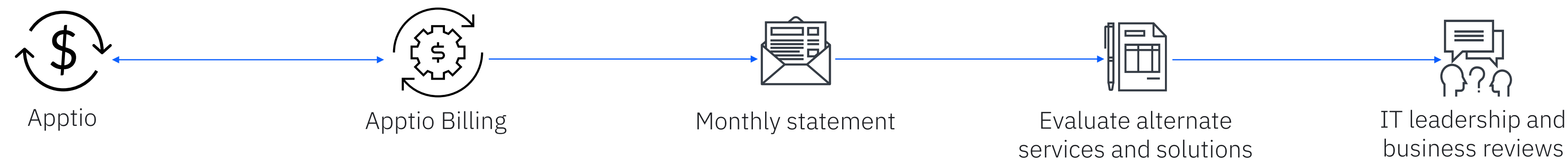
Use cases:

Support for:

- Legal entity reporting
- Transfer pricing and taxation
- Compliance and regulatory reporting
- Store all billing and chargeback records for a clear audit trail

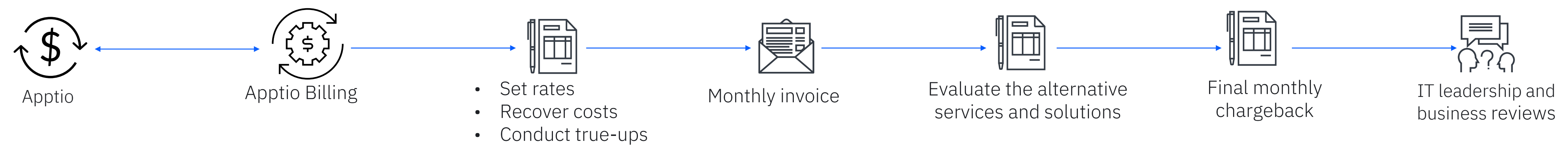


Understanding showback



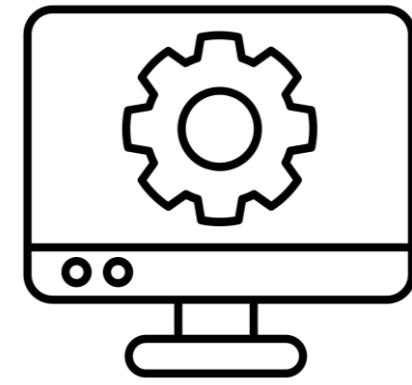
Transparency	Showback	Collaboration	Accountability
IT finance	Service and product owners	Business consumers and business relationship Managers	Chief Information Officer (CIO)
Understand cost and consumption - Understand the costs of services and apps - Leverage and understand key costing metrics - Allocate to business units	Manage cost and consumption - Generate monthly statements - Justify allocations and drive accountability	Understand cost and consumption - Receive monthly statements - Self-service detail by application, service, project and variance to budget Understand options and cost alternatives - Adjust service levels to the impact statement - Consider cloud, vendor and other alternatives	Demonstrate business value - Accurate and defensible IT costs that are related to the language of business services and products - Regular and dependable monthly statements

Understanding chargeback



Transparency	Chargeback	Collaboration	Accountability
IT finance	Service and product owners	Business consumers and business relationship Managers	Corporate finance and CIO
Understand cost and consumption - Understand the costs of services and apps (solutions layer) - Leverage and understand key costing and consumption metrics - Allocate to business units	Manage cost and consumption - Generate monthly statements - Set rates by budget, price and hybrid strategies - Choose subsidization strategies to drive adoption and withdrawal of services - Recover costs and perform true-ups	Understand cost and consumption - Receive a monthly statement - Self-service detail by application, service, project and variance to budget Understand options and cost alternatives - Adjust service levels to the impact statement - Consider cloud, vendor, and other alternatives	Demonstrate business value - Accurate and defensible IT costs that are related to the language of business services and products - Regular and dependable monthly statements

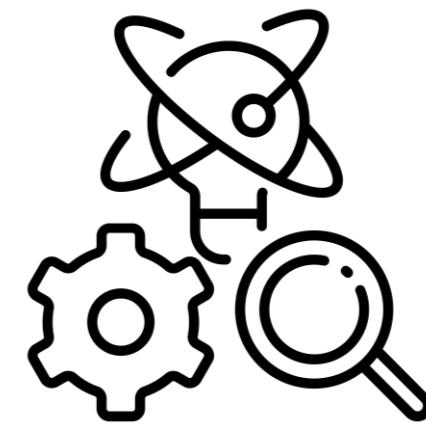
Recap of key points



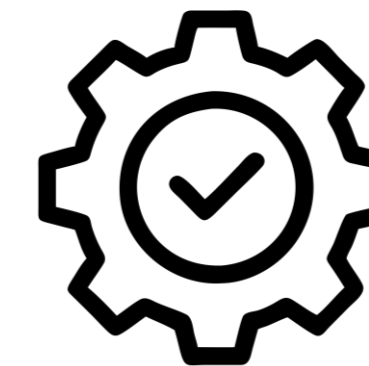
Improve the credibility
of IT



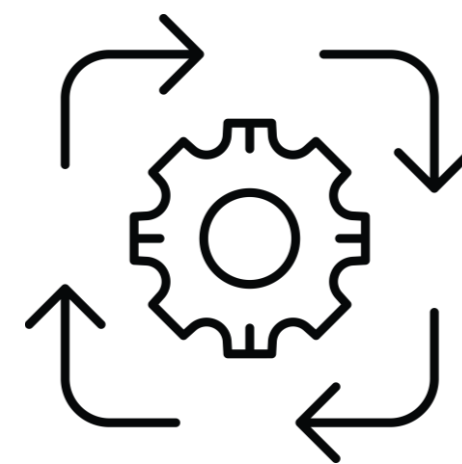
Eliminate spreadsheets



Fuel innovation



Automate cost recovery



Provide a predictable bill
of IT

Thank you

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